

Business Responsibility Report:

The Directors present the Business Responsibility Report of the Company for the Financial Year ended on March 31, 2022.

SECTION A : GENERAL INFORMATION ABOUT THE COMPANY

1.	Corporate Identification Number ("CIN") of the Company	L24230GJ1995PLC025878
2.	Name of the Company	Zydus Lifesciences Limited
3.	Address of the Registered Office of the Company	Zydus Corporate Park, Scheme No. 63, Survey No. 536, Near Vaishnodevi Circle, Khoraj (Gandhinagar), S G Highway, Ahmedabad-382481.
4.	Website	www.zyduslife.com
5.	E-mail id	dhavalsoni@zyduslife.com
6.	Financial Year reported	2021-2022
7.	Sector(s) that the Company is engaged in (industrial activity code-wise)	
	Group	Class
	210	2100
		Sub Class
		21001
		Description
		Drugs and Pharmaceuticals
8.	Key Products / Services	The Company manufactures and markets a wide range of healthcare products.
9.	Locations where business activity is undertaken by the Company	The Company's businesses and operations are spread across different geographies. There are 29 (twenty nine) locations in India, where the manufacturing and research and development activities are carried out, details whereof are provided in this Annual Report. Details of business performance in Indian markets as well as International markets are reported as a part of the Management Discussion and Analysis Report, which forms a part of this Annual Report.
10.	Markets served by the Company-Local / State / National / International	As a global healthcare provider, the Company has a significant presence nationally and globally.

SECTION B : FINANCIAL DETAILS OF THE COMPANY

Paid-up Capital (₹)	1,024 mio.
Total turnover (sale of products) (₹)	75,900 mio.
Total profit after taxes (₹)	8,579 mio.

SECTION C : OTHER DETAILS

List of activities in which expenditure on CSR has been incurred and total spending as a percentage of profits after tax:

During the Financial Year ended on March 31, 2022, the Company was required to contribute an amount of ₹ 269.23 mio. [rounded off to ₹ 270.00 mio. (Rupees Two Hundred Seventy Million only)], being the 2% (two percent) of the average net profits of previous 3 (three) financial years, calculated as per the provisions of section 198 of the Companies Act, 2013 ("the Act").

Based on the recommendation of CSR Committee, Board of Directors ("the **Board**") at its meeting held on August 11, 2021, passed a resolution to set-off an amount of ₹ 100.00 mio. (Rupees One Hundred Million only) during the Financial Year ended on March 31, 2022 out of the total excess contribution of ₹ 531.00 mio. (Rupees Five Hundred

Thirty One Million only). Based on the recommendation of CSR Committee, Board at its meeting held on May 20, 2022 passed a resolution that out of the balance amount of ₹ 431.00 mio. (Rupees Four Hundred Thirty One Million only), an amount of ₹ 180.00 mio. (Rupees One Hundred Eighty Million only) will be set-off against the total amount to be contributed towards CSR during the Financial Year ending on March 31, 2023.

Taking into consideration the above, the Company has contributed an amount of ₹ 170.00 mio. (Rupees One Hundred Seventy Million only) towards CSR on education and healthcare, including preventive healthcare and infrastructure development. Annual Report on CSR activities is attached to the Board's Report.

EY has carried out CSR Impact Assessment on the CSR projects undertaken by the implementing agency. Said report is also attached to the CSR Report.

The Company is a global pharmaceutical Company with subsidiaries in India and across the globe. As on date, the Company has 15 (fifteen) Indian subsidiary companies, 26 (twenty six) foreign subsidiary and joint venture companies, 3 (three) joint venture companies and 1 (one) partnership firm. Names of the subsidiary and joint venture companies are provided in the statement of salient features of the subsidiary and joint venture companies under section 129(3) of the Act and Rules made thereunder, which forms a part of this Annual Report. Each of the Company's subsidiaries and joint venture companies abides by the law of the respective land, where it operates in a responsible manner. The subsidiary companies' Business Responsibility ("BR") initiatives are aligned with those of the Company.

SECTION D: BR INFORMATION

1. Details of Director responsible for BR:

a) Details of the Director responsible for implementation of the BR Policy / Policies:

Sr. No.	Particulars	Details
1	DIN (if applicable)	00131852
2	Name	Mr. Pankaj R. Patel
3	Designation	Chairman

b) Details of the BR head:

Sr. No.	Particulars	Details
1	DIN (if applicable)	Not Applicable
2	Name	Mr. Dhaval N. Soni
3	Designation	Company Secretary and Compliance Officer
4	Telephone Number	079-48040338
5	E-mail id	dhavalsoni@zyduslife.com

2. Principle-wise (as per NVGs) BR Policy / Policies:

Alignment to National Voluntary Guidelines on Social, Environmental and Economic Responsibilities of Business ("NVGs")

NVG Principle	Chapter in BR Report	Page No.	Details in Annual Report
Business should conduct and govern themselves with Ethics, Transparency and Accountability.	Corporate Governance Structure	127	Yes
Business should provide goods and services that are safe and contribute to sustainability throughout their life cycle.	Manufacturing and Quality	127	Yes
Businesses should promote the well-being of all employees.	Building people to build our business	127-128	Yes
Businesses should respect the interest of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized.	Zydus' Corporate Social Responsibility	128	Yes
Businesses should respect and promote human rights.	Human Rights	128	Yes
Businesses should respect, protect, and make efforts to restore the environment.	Environment, Health and Safety	128-129	Yes
Business, when engaged in influencing public and regulatory policy, should do so in a responsible manner.	Policy advocacy	129	Yes
Business should support inclusive growth and equitable development.	Zydus Shrishti	129	Yes
Business should engage with and provide value to their customers and consumers in a responsible manner.	The Zydus Way of manufacturing and marketing healthcare products	129	Yes

3. Principle-wise (as per NVGs) BR Policy / Policies:

a) Details of compliance (Reply in Y/N):

Sr. Questions No.	Business Ethics	Product Responsibility	Wellbeing of Employees	Stakeholder Engagement & CSR	Human Rights	Environment	Public Policy	CSR	Customer Relations
	P1	P2	P3	P4	P5	P6	P7	P8	P9
1 Do you have a policy / policies for?	Y	Y	Y	Y	Y ¹	Y	Y	Y	Y
2 Has the policy been formulated in consultation with the relevant stakeholders?	Y	Y	Y	Y	Y	Y	Y	Y	Y
3 Does the policy confirm to any national / international standards?	The Company is abiding by the various laws and while framing the policies, the Company takes into account the best practices and national and international standards.								
4 Has the policy been approved by the Board? If yes, has it been signed by MD / Owner / CEO / appropriate Board Director?	Y	Y ²	Y ³	Y	Y	Y	Y	Y	Y ⁴
All statutory policies are approved by the Board, whereas other policies are signed by the Managing Director or the respective business / unit head.									
5 Does the Company have a specified committee of the Board / Director / Official to oversee the implementation of the policy?	Y	Y	Y	Y	Y	Y	Y	Y	Y
The policies are implemented and being reviewed regularly by the respective business / unit head.									
6 Indicate the link for the policy to be viewed online?	www.zyduslife.com http://zydusehs								
7 Has the policy been formally communicated to all relevant internal and external stakeholders?	Yes, all the policies are communicated to the employees via internal portal, where each employee has an access and the external stakeholders through Company's website www.zyduslife.com .								
8 Does the Company have in-house structure to implement the policy / policies?	Y	Y	Y	Y	Y	Y	Y	Y	Y
9 Does the Company have a grievance redressal mechanism related to the policy / policies to address stakeholders' grievances related to the policy / policies?	Yes, respective business / unit heads attend to any grievances pertaining to their department and address the grievances. The Company has formed a Stakeholders' / Investors' Relationship Committee to redress any grievances of members. Product related grievances are also resolved by the respective business heads to which the product pertains to.								
10 Has the Company carried out independent audit / evaluation of the working of this policy by an internal or external agency?	The Company regularly carries out an independent audit on working of policy on environment. CSR expenditure is also audited by the Company's statutory auditors. EY has carried out the Impact Assessment on the CSR activities carried out by Zydus Foundation, the implementing agency.								

1. The Policy is embedded in the Company's Code of Conduct, HR policies and various other HR practices.
2. The Policy is embedded in the Company's Quality and Environmental Policies, which inter-alia relate to safe and sustainable products.
3. The policies for the wellbeing of employees are for internal circulation to the employees and approved by the Managing Director.
4. The Company fulfills the requirements by introducing innovative products and services. The Company has a customer complaint redressal system.

b) If answer to the questions at serial number 1 against any principle, is "No", please explain why:

Not Applicable



4. Governance related to BR:

- a) **Indicate the frequency with which the Board of Directors, Committee of the Board or CEO assesses the BR performance of the Company. Within 3 months, 3-6 months, annually, more than 1 year.**

The BR performance of the Company is regularly monitored by the Company and reviewed by the Chairman and respective departmental heads. The Board reviews BR performance on an annual basis.

- b) **Does the Company publish BR or Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published?**

The Company publishes BR Report as a part of Annual Report. The Company publishes BR report annually. Report is posted on the Company's website-www.zyduslife.com.

SECTION E: PRINCIPLE-WISE PERFORMANCE

Principle 1: Business should conduct and govern themselves with Ethics, Transparency and Accountability

The Company firmly believes and adheres to transparent, fair and ethical governance practices.

The Board has approved a Code of Business Conduct and Ethics, which is applicable to all Board Members and employees of the Company. This is reviewed and reported annually. The Company also has a Whistle Blower Policy approved by the Board and is applicable to all employees of the Company. Further, our major suppliers are also required to agree and to confirm to the code of responsible business conduct. The Company has also prescribed a very detailed Code of Ethics for its employees and every employee has to sign and affirm its compliance. The Code of Business Conduct and Ethics for Directors and Senior Management and for employees are uploaded on the website www.zyduslife.com. The internal code of conduct is available on a portal, which is accessible to all employees.

Details relating to members' complaints are provided in the Corporate Governance Report, which is a part of this Annual Report. However, there was no stakeholder complaint during the reporting period with regard to ethics, bribery and corruption.

Principle 2: Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle

All manufacturing facilities are inspected by the leading regulatory agencies of US, Brazil, India, etc. The approvals

are given after a systematic audit of Standard Operating Procedures ("SOPs") and protocols. Hence, utmost care is taken to ensure that products conform to stringent quality standards and bio-stability of products is submitted during the periodic audits.

The Company produces large number of diverse Formulations and Active Pharmaceutical Ingredients ("APIs") at various manufacturing sites and whereby ascertaining minimum consumption of energy, water and raw material, etc. on per unit of product made.

The Company has identified approved vendors for procuring materials and a SOP is in place for sourcing raw materials. This includes sample approvals, performance trials, plant audit and regulatory clearances. Majority of procurement of materials is from the approved manufacturers.

The Company procures goods and services from the registered/approved local and small producers for its manufacturing premises and offices. It improves operational efficiency and helps to save on transportation costs, inventory management and helps in risk mitigation. Adequate guidance and counselling are provided to them about system and procedures for regulated markets.

The waste generated from operations is either recycled, co - processed or disposed-off scientifically as per applicable Rules/Laws. Manufacturing facility has its own Effluent Treatment Plant, which ensures discharge of treated waste water meets the norms prescribed by respective pollution control boards/government agencies.

Important raw materials and solvents are recovered and recycled as per operating cost effectiveness programme. Solvent Recovery Plants at API manufacturing sites recover valuable solvents generated during the process of manufacturing and reuses solvents in the manufacturing process.

Principle 3 : Businesses should promote the well-being of all employees

1. **Please indicate the total number of employees and the number of contractual employees, women employees and permanent employees with disabilities:**

The Company does not discriminate among existing employees or during the process of recruitment on the grounds of religion, race, color, gender and disability. The Company provides equal opportunities to all employees. Key employee data as on March 31, 2022 are provided in the below table.

Sr. No.	Category of Employees	No. of Employees
1	Management staff	4,869
2	Marketing field staff	7,720
3	Others	10,884
4	Total	23,473
5	Contractual employees	12,054
6	Permanent Women employees	1,725
7	Permanent employees with disabilities	25

- The Company has a recognised employees association and 2.40% of our permanent employees are members of this association. The Company has not received any complaint relating to child labour, forced labour, involuntary labour. During the Financial Year ended on March 31, 2022, 2 (two) complaints relating to sexual harassment were received and both of them were resolved.
- The permanent and contractual employees at the Company's manufacturing sites, Research and Development Centre and other corporate offices are provided training on relevant Environment, Health and Safety ("EHS") aspects. Further, all other employees are given soft skill upgradation training to improve their skills as may be relevant to the respective functions. 82.90% employees were imparted training for skill development, EHS, etc. from the total strength.

Principle 4 : Business should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized

The Company has mapped its internal and external stakeholders. The Company recognizes employees, business associates, joint venture partners, suppliers, vendors, NGOs, communities, members, regulatory authorities and other governmental bodies and intermediaries as our key stakeholders.

The Company has also identified disadvantaged, vulnerable and marginalized stakeholders. The Senior Management of the Company also devotes their time and resources to various agencies involved in education and health arena as a part of its CSR. The Company works actively to enhance the employability of youth, leading to income generation and economic empowerment in the marginalized section of the communities.

The shop floor workers in our manufacturing premises are from the economically disadvantaged groups and local communities. The Company invests in their skill development and upgradation, health check-ups and ensures other quality of life parameters. The Company has processes in place to ensure upholding of the rights of our employees and protect them against any form of discrimination.

Principle 5: Businesses should respect and promote human rights

The Company is committed to promote human rights and adheres to the same in spirit and deed. This extends to all areas of business operations and various stakeholder groups. The Company is also committed to provide equal opportunities at all levels, safe and healthy workplaces and protecting human health and environment. The Company strives to provide a non-discriminatory and harassment-free workplace for all its employees and contract staff. The Factories Act, 1948 provides the overarching framework for the Company's policy on human rights for the employees working at different factories. The Company provides equal opportunities to all its employees to improve their skills and capabilities. The Company also has a policy in place to foster a professional, open and trusting workplace and safeguard the interests of its women employees. The Company provides help to its neighbouring communities to improve their education, cultural, economic and social well-being. There were no stakeholder complaints in the reporting period pertaining to human rights.

Principle 6 : Business should respect, protect, and make efforts to restore environment

The Company is committed towards conservation of the environment and compliance with all applicable requirements related to EHS. The Company has been working beyond statutory compliance with a focus on the 4 Rs—Reduce, Reuse, Recycle and Recover for resources. The Company is engaging and involving every stakeholder across organisation for creating an EHS culture.

The Company continued to invest substantial resources towards sustaining and continuously improving standards of EHS. Competent EHS cell is in place at each facility to cater day-to-day EHS related activities.

To gratify the EHS value as a whole with systematic approach, 18 company units are accredited for ISO 14001:2015 and ISO 45001:2018.

Sustainable and Green initiatives like co-processing hazardous waste, disposal of E Waste to registered



recycler, plastic waste management obligation fulfilment as a brand owner made apart from standard working on water conservation, solvent recovery, energy efficient techniques, developing green belt, etc. Environment Management System and stringent monitoring are in place that cover online monitoring system for air emission and wastewater at units.

The Company is committed to achieve all the norms within the limits for emission and discharge of air and water, as may be laid down by the regulators. The Company complies with pollution and environmental laws.

For safety culture at work place, the Company has implemented H&S Programs like Internal Audit and Visible Felt Leadership, Emergency Response Preparedness ("EPR"), Process Safety Management ("PSM") and Behaviour Based Safety Management tools across the units.

To bring the information asymmetry amongst the EHS team members and all employees, the Company has created a dedicated Software-Zysafe, EHS portal system and they are updated time to time with relevant information/documents that includes EHS management-SOPs, guidelines, checklists, etc. The Company organizes EHS area group discussions at various levels as a part of awareness and updating work practices on regular basis.

Principle 7: Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner

The Company is a member of following Chambers and Associations:

- A. Indian Pharmaceutical Alliance,
- B. Federation of Indian Chambers of Commerce and Industry ("FICCI"),
- C. The Indian Drug Manufacturers Association,
- D. Pharmexcil, Hyderabad; and
- E. Gujarat Chamber of Commerce & Industry ("GCCCI").

The Company interacts with Government / Regulatory Authorities on any public policy framework through apex industry institutions, like Indian Pharmaceutical Alliance, FICCI, The Indian Drug Manufacturers Association, Pharmexcil and GCCCI. The Company puts forth its views on new standards or regulatory developments pertaining to the pharmaceutical manufacturing industry, broadly in the areas concerning access to medicines, best practices, corporate governance, CSR, etc.

Principle 8 : Businesses should support inclusive growth and equitable development

The Company's CSR initiatives are spearheaded by Ramanbhai Foundation and Zydus Foundation. Under its flagship programme, Zydus Shrishti, the Company carries

out extensive work in the field of education, health and research. The focus through these programs is to develop communities, it forms a part of, inclusive education and creating knowledge platforms for the research community.

In line with its policy, the Company has contributed towards education, healthcare and social outreach programmes and a majority of its CSR spending in the previous financial year has been in these areas. To serve the needs of the patients and bring world class medical education to the rural interiors of Gujarat, the Company manages the Zydus Medical College and Hospital at Dahod. The Hospital till now has provided critical medical services to 7,488 COVID-19 patients who were admitted at the hospital and 35,962 OPD patients who have been treated for COVID so far since March, 2020. The services of the Hospital in the ongoing pandemic were lauded by the Ex Chief Minister of Gujarat, Shri Vijaybhai Rupani. The Zydus Medical College is the first Medical College to be set up in Dahod and 750 students are currently enrolled in the MBBS programme.

Reaching out to make a difference in the community, the Company also extends support to the School for Deaf and Mutes Society. Established in the year 1908, the school for the Deaf and Mutes Society is one of the oldest organizations working in the field of education and rehabilitation of persons with hearing, speech, and visual impairment.

Principle 9 : Businesses should engage with and provide value to their customers and consumers in a responsible manner

There were no customer complaints received in the reporting period. There are no complaints or consumer cases pending as on the Financial Year ended on March 31, 2022. There are no cases filed by any customer or consumer against the Company as on the Financial Year ended on March 31, 2022.

The Company displays all product information on the product label, which is mandatory and as may be required for the use of the products by the consumers.

The Company shall never engage in any unfair trading practices, irresponsible advertising or anti-competitive behavior. The Company has various checks and balances to ensure that the business of the Company is done in a fair and responsible manner. This is the Zydus Way of manufacturing and marketing healthcare products.

The Company carries out the consumer satisfaction survey to measure the satisfaction among its consumers. A full-fledged Pharmacovigilance cell has been set up to track, review and act on any adverse event complaints. Post marketing surveillance is also carried out by the marketing team to track and monitor the efficacy and safety of the products.